

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI
LANKA

In the matter of a Case Stated under Reference No.TAC/IT/026/2019 by the Tax Appeals Commission under Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

CA Case No: CA/TAX/96/2024
Tax Appeals Commission No:
TAC/IT/026/2019

Silvermill Coco Ventures (Pvt) Ltd,
No. 148/1, Kynsey Road,
Colombo 08.

Appellant

Vs.

The Commissioner General of Inland
Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before:

M.C.B.S. Morais J.

&

Annalingam Premashanker J.

Counsel: F.N.Goonewardena with Aparna Kulathunga for the Appellant.
Amasara Gajadeera, SC for the Respondent.

Written Submissions: By the Appellant – on 7.05.2026, 8.12.2025
By the Respondent – on 28.10.2025

Argued on: 25.02.2026

Decided On: 02.07.2026

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 6th of March 2024, in the case of TAC/IT/026/2019.

This appeal is filed under Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2014/2015 and the taxable amount in issue is Rs. 3,182,680.00.

FACTUAL BACKGROUND

The Silvermill Coco Ventures (Pvt) Ltd (hereinafter will be referred to as the Appellant) is a limited liability company domiciled in Sri Lanka and incorporated under the Companies Act No. 07 of 2007. The Appellant is involved in the business of producing steam power using biomass for supplying energy.

The Appellant has submitted the return for the above taxable period claiming certain deduction which was denied by the Assessor by the intimation letter dated 5th of January 2017. Accordingly, the Assessor has issued assessment without granting those deductions by the Notice of Assessment dated 3rd of March 2017. The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 11th of March 2018 determined the appeal by upholding the assessment issued by the Assessor. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed the appeal by the determination dated 6th of March 2024 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

- I. *“Did the Tax Appeals Commission err in determining that the Assessor has complied with Section 163(3) of the Inland Revenue Act, No.10 of 2006 (as amended) ('IRA') despite the Assessor having failed to provided reasons for not accepting the Appellant's return?”*

- II. *Has the Tax Appeals Commission erroneously determined that the Appellant is engaged in the 'business of investing 'and its gains from the disposal of unlisted shares in Silver Mill Holding Limited pursuant to a group restructuring is liable for income tax in terms of the IRA?*
- III. *Has the Tax Appeals Commission erroneously determined that the gain on disposal of shares made by the Appellant is not excluded from the scope of the IRA notwithstanding the fact that there is no specific provision in the IRA to charge such gains (i.e., capital gains) with income tax?*
- IV. *Has the Tax Appeals Commission erred in basing its determination on Section 13 (t) (ii) of the IRA which the Appellant did not claim any benefits under?*
- V. *Has the Tax Appeals Commission erred in basing its determination on Section 44 of the IRA which the Appellant did not claim any benefits under? ”*

Before proceeding to analyze the questions of law before this Court, I find it is necessary to briefly set out the relevant factual background of this case.

The Appellant is a sister company of Silvermill Holdings Limited (currently known as Giriulla Mills Limited), both companies being managed by the same Board of Directors. The Appellant acquired a total of 516,667 shares in Silvermill Holdings Limited on 21st of July 2011 and 23rd of December 2011.

In 2015, the group has undertaken a corporate restructuring, whereby it has decided that the Silvermill Holdings Limited would function as the holding company of the group, with the other group entities being reorganized as its subsidiaries in accordance with the restructuring plan. Consequently, in order to implement the restructuring, Silvermill Holdings Limited had repurchased the shares held by the Appellant. (X11)

On this basis, the Appellant has transferred the entirety of those shares to Silvermill Holdings Ltd on 7th of January 2015 for a consideration of Rs. 22,733,392. Consequently, the Appellant has recorded a profit of Rs. 11,366,718 arising from the disposal of those shares.

In computing its tax liability for the year of assessment 2014/2015, the Appellant has excluded the said profit from its taxable income on the basis that the gain derived from the realization of a long-term investment constituted a capital gain. Accordingly, the said deduction has not been allowed by the Assessor and a new Assessment was issued.

Having laid down the background of this case, now I shall move on to address the questions of law raised before this court.

According to the journal entry dated 25th of February 2026, the Appellant has mentioned this court that they would not pursue the first question of law relating to the application of section 163(3) of the Inland Revenue Act No. 10 of 2006 (hereinafter referred to as the “IRA 2006”). Therefore I shall not deal with the question of law I.

ANALYSIS

The questions of law II, III, IV, and V are in relation to the tax on gains from the disposal of the unlisted shares by the Appellant. Therefore I shall address all these four questions together in the following manner.

Questions of Law II – V

It is the Appellant's contention that the gain arising from the disposal of its unquoted shares should be treated as the realization of a long-term investment and, accordingly, as a capital receipt rather than taxable income.

The Appellant further contends that the IRA 2006 does not specifically provide for the taxation of capital gains arising from the sale of shares or similar financial instruments. Therefore, the Respondent cannot impose tax on such gains when the statute does not expressly provide for their taxation. The Appellant also contends that the profit arising from the sale of the unquoted shares constitutes profits and income of a casual and non-recurring nature within the meaning of section 3(j) of the IRA 2006.

According to the letter of intimation dated of January 2017, the Deputy Commissioner of the Inland Revenue Department has rejected the tax returns submitted by the Appellant, for the following reasons;

“According to the section 13(t) (ii) of the Inland Revenue act No. 10 of 2006 read as follows.

There shall be exempt income tax any profit & income.,

For any year of assessment commencing on or after April 01, 2007. derived by or accruing to any person or partnership, from the sale of any share, a right to any share, a bonus share or a share warrant in respect of which the share transaction levy under section 07 of the finance Act, No.5 of 2005 has been charged.

But according to your statements of Accounts that Gain on disposal of Investments has been aroused from disposal of unquoted shares. Therefore profit on sale of shares treated as liable income of the company.”

When it was appealed to the Respondent, the appeal has been dismissed on the following grounds;

“Section 13-There should be exempt from income tax,

(t)(1) any profits and income -

(1) for the year of assessment commencing on April 1, 2006, derived by or accruing to any person or partnership other than any unit trust, mutual fund or venture capital company, and

(ii) for any year of assessment commencing on or after April 1, 2007, derived by or accruing to any person or partnership, from the sale of any share, a right to any share, a bonus share or a share warrant in respect of which the share transaction levy under section 7 of the finance Act, No 5 of 2005, has been charged;

Section 44-rate of income tax on sale of any share or a warrant.....

The profits of any person other than a unit trust or mutual fund, from the sale of any share or a right to any share or a share warrant shall, Where such sale takes place within two years from the date of acquisition of such share, right to a share warrant, be liable at the appropriate rate specified in the Fifth Schedule to this Act:

Provided that the provisions of this section shall not apply in relation to the sale of any share, if in respect of such sale the share transaction levy under section 7 of the Finance Act, No. 5 of 2005 has been paid.

For the purposes of this section the "profits", includes gains and shall be computed.

According to the section the profit and income from sale of any share, a right to any share, a bonus share or a share warrant were exempted from the income tax which the share to any action levy under section 7 of the Finance Act, had been charged.

But with regard to unquoted shares the share transaction levy had not been paid.

Therefore, profit on sale of such shares are liable for the income tax since the share transaction levy under section 7 of the Finance Act had not been charged.

Further, the principal activities of the company is the manufacturing of steam. Similarly the company is in the business of Investment too. According to the financial accounts note 11 company is in the possession of quoted Investments other than the unquoted Investments declared under the available for sale (AFS) financial assets.

Therefore this profit on sale of unquoted shares is considered as an income liable for tax.

Taking in to consideration all above, I hereby determine that,

(1) The Assistant Commissioner has made a valid assessment within the stipulated time.

(ii) The Assistant Commissioner has provided the proper reasons as required by the law.

By virtue of the authority delegated to me by the Commissioner General of Inland Revenue, I heard said appeal on 07th February 2019 in line with the section 165 (8) of the Inland Revenue Act No. 10 of 2006. I concerned the information and other necessary documents submitted for the above hearing and, further, the oral and written submissions produced by both parties, Inland Revenue and the authorized representatives on behalf of the appellant, and determine the above captioned appeal by confirming the assessment issued under the assessment No ITR 17230200025 Vi in compliance with the section 165 (13) of the Inland Revenue Act No. 10 of 2006. Accordingly, the payable tax is indicated here under. ”

The TAC in its determination dated 6th of March 2024, has held in favour of the Respondent for the following reasons;

“The Appellant in its petition of appeal has stated following factual grounds. The Appellant is a company in Silver Mill Group and it has purchased 516,667 number of

shares of Silver Mill Holding Ltd on 21st July 2011 and 23rd December 2011 respectively. As a part of group restructuring process, the Appellant has transferred the total number of shares to Silver Mills Holdings Ltd on 7th January 2015 for a Rs.22,733,392/- Accordingly, the company has recorded from disposal of shares of Rs. 11,366,718/-. In ascertaining the tax liability for the year of assessment 2014/2015, the company has excluded the said profit from the computation, on the basis that an amount derived from realizing of long-term investment to be treated as a capital gain. Inadvertently, the said profit has been mentioned as exempted under section 13 (t) of the IR Act, which the representatives of the Appellant have admitted as exempted under section 03 (j) of the IR Act. The shares of the companies which are not quoted in the Stock Exchange in Sri Lanka are usually sold by private placement and such transaction cannot be constituted as trading of stock, thus the profit by realization of unquoted shares does not fall within provision of the IR Act, argues the Appellant.

The Respondent in his reasons for determination has quoted section 13(t) and section 44 of the IR Act to justify his determination. According to those legal provisions the profit and income from sale of any share, to be exempt from the income tax, share transaction levy under Section 7 of the Finance Act has to be charged, argues the Respondent. But with regard to unquoted shares, the share transaction Levy has not been paid and therefore profit of sale of such shares liable for Income tax since the share transaction Levy under section 11 of the Finance Act has not been charged. The Appellant's claim of exclusion cannot be denied as neither entitled under section 13 (t) or 44 of the IR Act. Admittedly section 13(t) is not applicable for the exemption claimed by the Appellant though the Appellant has in avertedly mentioned section 13 of the IR Act. After due consideration of the lengthy written submissions and the documents submitted by the Appellant, this Commission decides to accept the opinion expressed by the Respondent. As such we confirm the assessment and the determination of the Respondent and dismiss the appeal.”

The Respondent contends that the amount received from the sale of shares were derived in the course of the Appellant's business with the intention of making a profit and, accordingly, are liable to be taxed under sections 13(t) and 44 of the Inland Revenue Act No. 10 of 2006.

The Appellant, on the other hand, contends that it does not engage in the regular trading of shares and that the impugned transaction cannot therefore be characterized as part of a share trading business. The Appellant further asserts that its Articles of Association do not identify share trading as one of its objects or business activities.

It is the Appellant's position that the disposal of the shares occurred solely as part of a corporate restructuring exercise and it constitutes the realization of a long-term investment rather than a transaction undertaken in the ordinary course of business for the purpose of earning profits.

The section 13(t) of IRA 2006, which deals with the miscellaneous exemptions from income tax and the section 44 of the IRA 2006, which deals with Rate of income tax on sale of any share or a warrant, reads as follows;

“13 (t) any profits and income—

- (i) for the year of assessment commencing on April 1, 2006, derived by or accruing to any person or partnership other than any unit trust, mutual fund or venture capital company ; and*
- (ii) (ii) for any year of assessment commencing on or after April 1, 2007, derived by or accruing to any person or partnership, from the sale of any share; a right to any share, a bonus share or a share warrant in respect of which the share transaction levy under section 7 of the Finance Act, No, 5 of 2005, has been charged ;*

.....

(44) The profits of any person other than a unit trust or mutual fund, from the sale on or before March 31, 2007, of any share or right to any share or a share warrant shall, where such sale takes place within two years from the date of acquisition of such share, right to a share or a share warrant, be liable at the appropriate rate specified in the Fifth Schedule to this Act *Rate of income tax on sale of any share or a warrant.*

Provided that the provisions of this section shall not apply in relation to the sale of any share, if in respect of such sale the share transaction levy under section 7 of the Finance Act, No. 5 of 2005 has been paid. For the purposes of this section the “profits”, includes gains and shall be computed, after deducting any expenditure allowable under section 25 directly related to the disposal of such shares and the cost of acquisition of such shares, from the sale proceeds, and shall be the net profit or gain for that year, after deducting losses incurred in the same year from the disposal of shares, rights or warrants, calculated in the same manner as mentioned above, had such loss been a profit or gain would have been liable to tax under this paragraph, have been held for a period not exceeding twenty four months by such person, and in the event that the sale comprises shares of the same company, acquired on different dates, the cost of such shares or the period of ownership shall be determined on a first in first out basis of such shares. Any excess of such deductible loss over the profits or gain for any year may be carried forward to the succeeding year and so on, and deducted in computing the net profits or gains under this paragraph.”

It should be noted that sections 13(t) and 44 of the Inland Revenue Act No. 10 of 2006 serve distinct purposes. Section 13(t) is a computational provision that sets out the manner in which income need to be taxed, while section 44 prescribes the rate of income tax applicable to certain profits arising from the sale of shares or share warrants.

Importantly, section 44 identifies a specific category of share disposals that are subject to tax, namely disposals occurring within two years of acquisition. However, neither section 13(t) nor section 44 establishes that every gain arising from the disposal of shares is taxable. These provisions do not operate as charging provisions that bring all gains from share disposals within the scope of income tax regardless of the nature of the transaction.

In applying section 44 of the IRA 2006, it should be noted that the provision applies only to shares disposed within two years of their acquisition. However, the facts of the present case reveal that the Appellant acquired the shares in Silvermill Holdings Limited on 21st of July 2011 and 23rd of December 2011, and subsequently disposed them to the same company on 7th of January 2015 (X26), which was well beyond the two-year period stipulated in section 44.

Accordingly, the gains arising from the disposal of those shares cannot be subjected to tax under section 44 of the Act, as the disposal falls outside the period expressly prescribed by the provision.

Therefore, I am of the view that the Respondent has misconstrued the scope and effect of sections 13(t) and 44 of the Act.

In light of the nature of the transaction and the circumstances of the present case, I shall now proceed to consider whether the gain arising from the disposal of the shares is characterized as a capital gain or as taxable income under the IRA 2006.

Capital Gains Tax is a tax on the gain realized from the transfer or disposal of an investment asset. The taxable gain is generally calculated as the difference between the consideration received on disposal and the cost of acquiring the investment asset. Capital gains tax was first introduced in Sri Lanka by the Income Tax Act No. 13 of 1959, which expressly brought capital gains within the scope of “profits and income” chargeable to income tax. Thereafter, gains arising from the disposal of capital assets remained a taxable source of income under successive Inland Revenue enactments. Under the Inland Revenue Act No. 38 of 1979, capital gains constituted a distinct category of taxable income and included gains arising from, inter alia, the transfer of property, the surrender or transfer of rights in property, the redemption of shares or debentures, and certain corporate reorganizations.

However, this position changed with the enactment of the Inland Revenue (Amendment) Act No. 10 of 2002, which abolished capital gains tax with effect from 31st of March 2003. Consequently, gains of a capital nature ceased to be a separate source of income chargeable to tax. This has been clearly accepted by both parties as well.

The issue in the present appeal is whether the gain derived by the Appellant from the transfer of unquoted shares, which were allegedly held as a long-term investment, constitutes a capital receipt arising from the realization of an investment or taxable income liable to income tax.

In addressing this issue, it is necessary to examine the charging provisions of the Inland Revenue Act No. 10 of 2006. Section 2 of IRA 2006 imposes income tax on the “profits and income” of every person for a year of assessment, while section 3 of IRA 2006 identifies the categories of profits and income that are chargeable to tax.

Accordingly, the section 3 of IRA 2006, which deals with the Income chargeable with Tax, mentions the following;

“3. For the purpose of this Act, “profits and income” or “profits” or “income” means;

(a) the profits from any trade, business, profession or vocation for however short a period carried on or exercised;

(b) the profits from any employment;

(c) the net annual value of any land and improvements thereon occupied by or on behalf of the owner, in so far as it is not so occupied for the purposes of a trade, business, profession or vocation;

(d) the net annual value of any land and improvements thereon used rent-free by the occupier, if such net annual value is not taken into account in ascertaining profits and income under paragraphs (a), (b) or (c) of this section, or where the rent paid for such land and improvements is less than the net annual value, the excess of such net annual value over the rent to be deemed in each case the income of the occupier;

(e) dividends, interest or discounts;

(f) charges or annuities;

(g) rents, royalties or premiums;

(h) winnings from a lottery, betting or gambling ;

(i) in the case of a non -governmental organization, any sum received by such organization by way of grant, donation or contribution or any other manner; and

(j) income from any other source whatsoever, not including profits of a casual and non-recurring nature.”

Significantly, the IRA 2006 does not include capital gains as a distinct source of taxable income.

Although the Respondent contends that the profits arising from the sale of shares fall within section 3(j) of the Inland Revenue Act No. 10 of 2006 and are therefore taxable on that basis, it should be noted that section 3(j) is a residual provision intended to capture profits and income that do not fall within the other specific categories enumerated in section 3. The application of section 3(j) must therefore be considered with due regard to its expressed limitations.

Specifically section 3(j) expressly excludes ‘profits of a casual and non-recurring nature.’ In the present case, neither the Assessor nor the Respondent has properly considered or established whether the gain arising from the disposal of the shares constitutes a profit of a casual and non-

recurring nature. In particular, no adequate analysis appears to have been undertaken as to whether the impugned transaction, falls within the scope of the aforesaid exclusion.

Accordingly, it is evident that the Assessor and the Respondent failed to give due consideration to this material aspect of section 3(j) before concluding that the gain was liable to be taxed under that provision.

However, it need to be noted that the question whether a gain, profit, or receipt is capital in nature or constitutes income arising from a trade or business in the nature of its trade, depends on the character and surrounding circumstances of the particular transaction, as well as the intention of the taxpayer in acquiring and disposing of the asset.

Accordingly, the proceeds derived from the sale of an asset cannot become automatically taxable merely on the basis that the transaction yields a profit. Therefore, the next question that needs to be addressed is whether the said asset was held as a capital investment and subsequently realized, or whether it was acquired and disposed of as part of a profit-making scheme.

Where the transaction amounts to the mere realization of a long-term investment, the resulting gain is generally regarded as a capital receipt. Conversely, where the transaction forms part of a commercial venture undertaken with a view to profit, the gain may be characterized as revenue and therefore constitute taxable income.

In the English Case of ***Californian Copper Syndicate Ltd v Harris (1904) 5 TC 159*** , Lord Justice Clerk held the following view in determining whether a gain acquired through realization of long term investment constitutes a Capital receipt or falls within the scope of taxable income.

“It is quite a well settled principle in dealing with questions of assessment of Income Tax, that where the owner of an ordinary investment chooses to realise it, and obtains a greater price for it than he originally acquired it at, the enhanced price is not profit in

the sense of Schedule D of the Income Tax Act of 1842 assessable to Income Tax. But it is equally well established that enhanced values obtained from realisation or conversion of securities may be so assessable, where what is done is not merely a realisation or change of investment, but an act done in what is truly the carrying on, or carrying out, of a business. The simplest case is that of person or association of persons buying and selling lands or securities speculatively, in order to make gain, dealing in such investments as a business, and thereby seeking to make profits. There are many companies which in their very inception are formed for such a purpose, and in these cases it is not doubtful that, where they make a gain by a realisation, the gain they make is liable to be assessed for Income Tax.

*What is the line which separates the two classes of cases may be difficult to define, and each case must be considered according to its facts, **the question to be determined being- Is the sum of gain that has been made a mere enhancement of value by realising a security, or is it a gain made in an operation of business in carrying out a scheme for profit-making?***”

A similar approach has also been taken by His Lordship Dr. Ruwan Fernando, J in the case of **LOLC Finance PLC Vs. The Commissioner General of Inland Revenue CA /TAX/0018 /2019** decided on 27.01.2023.

*“Any frequency or isolated transaction which is not carried on in the course of business is not necessarily free from income tax but such frequency transaction not in the ordinary course of the taxpayer’s business may provide a guide in determining whether a transaction is one on capital or revenue nature (Silke on South African Income, p. 32). **The question whether an isolated transaction not in the course of business is in the nature of a capital or revenue depends on the profit-making intention behind the transaction (supra, p. 32).***

Accordingly, where a person buys a property with the intention of reselling it at a profit and any such profit made would be taxable even though such person does not ordinarily carry on any business of buying and selling property and even though the transaction may be an isolated one (supra, p. 32). The test is that if the profit arises out of trading, it is taxable notwithstanding the fact that the transaction is one of isolated one (Stephen v. C.I.R. (1919) W.L.D. 1). This means that the fact that a transaction is isolated is not decisive to decide whether the receipt is the capital or income and what is decisive is whether the assessee is doing business of selling and buying property even though it carries on only one single transaction (C.I.R. v. Stott, (1928) A.D. 252).

*The resulting position is that the proceeds derived from a sale of property would be of an income nature under section 3 (a) if the assets were acquired for the purpose of resale at a profit-making while carrying on of a trade or business notwithstanding the fact that the transaction may be of an isolated nature (Silke on South African Income, p. 40). **On the other hand, if the property is acquired for the purpose of using it for the purpose of deriving income i.e., as an investment, and not for the carrying out of a scheme for profit-making, the proceeds derived from a subsequent sale are of a capital nature (supra) ”***

In light of the foregoing authorities, the crucial aspect that need to be addressed is the true nature of the transaction in question and the intention of the party. The Appellant has established that the gain arising from the disposal of the shares resulted from a one-time transaction undertaken pursuant to a group restructuring exercise. The materials before this Court does not indicate that the Appellant regularly engaged in the acquisition and disposal of shares or otherwise carried on a business of investing for the purpose of deriving profits.

Moreover, the Respondent has failed to convince this court that the Appellant was engaged in the business of investing or trading in shares. The mere fact that the disposal yielded a profit is insufficient, in itself, to characterize the gain as taxable income.

Accordingly, I am of the view that the Tax Appeals Commission erroneously concluded that the Appellant was engaged in the business of investing and the gain arising from the disposal of its unlisted shares in Silvermill Holdings Limited pursuant to a group restructuring process was liable to income tax under the IRA 2006.

For the foregoing reasons, I answer Questions of Law II, III, IV, and V in the affirmative.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the questions of law formulated by the Appellant should be answered as set out below.

Question of law I – Not Pursued

Question of law II – Affirmative

Question of law III – Affirmative

Question of law IV – Affirmative

Question of law V – Affirmative

Accordingly, the appeal is allowed.

The determination of the TAC dated 6th of March 2024, determination of the Respondent dated 11th of March 2018, the Assessment dated 5th of January 2017 and the Notice of assessment dated 3rd of March 2017 issued by the Deputy Commissioner of the Department of Inland Revenue, in relation to the question of law II – V is hereby overturned and annulled.

The Registrar is directed to serve a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal